Public Policy 2026-2027

Lecture 3: State-Society Relations

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Stockholm School of Economics in Riga

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Remember: Polity Shapes Policy

So: executives in consensus democracies tend to be weaker and more short-lived. Does this mean they are less effective at policymaking?

Arend Lijphart's (2012) conclusion: consensus democracies have a better track record than Westminster democracies in:

- Overall policy effectiveness.
- Governance quality.
- Democratic representation.
- "Kindness" and "gentleness" of their policy orientations.

See the debate on "policy styles." It is generally accepted that in consensus democracies the policy process is more inclusive, slower, but not less stable than in Westminster democracies.

The Executive as a Policy Actor

- Head of the government (prime minister, chancellor, etc.) and (cabinet) ministers.
- Two rival principles governing the executive role of cabinet ministers:
  - Principle of collective responsibility.
  - Principle of ministerial autonomy.
- Cabinets need to be either:
  - supported (‘minimal winning’ or ‘oversized coalition’), or
  - tolerated (minority government) by a parliamentary majority.
- The latter condition is less important in presidential systems.


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NEWS › DEFENSE

German conscription plan stalls after defense minister’s objections

Defense Minister Boris Pistorius intervened to halt a coalition deal that would have reintroduced limited military service by lottery.

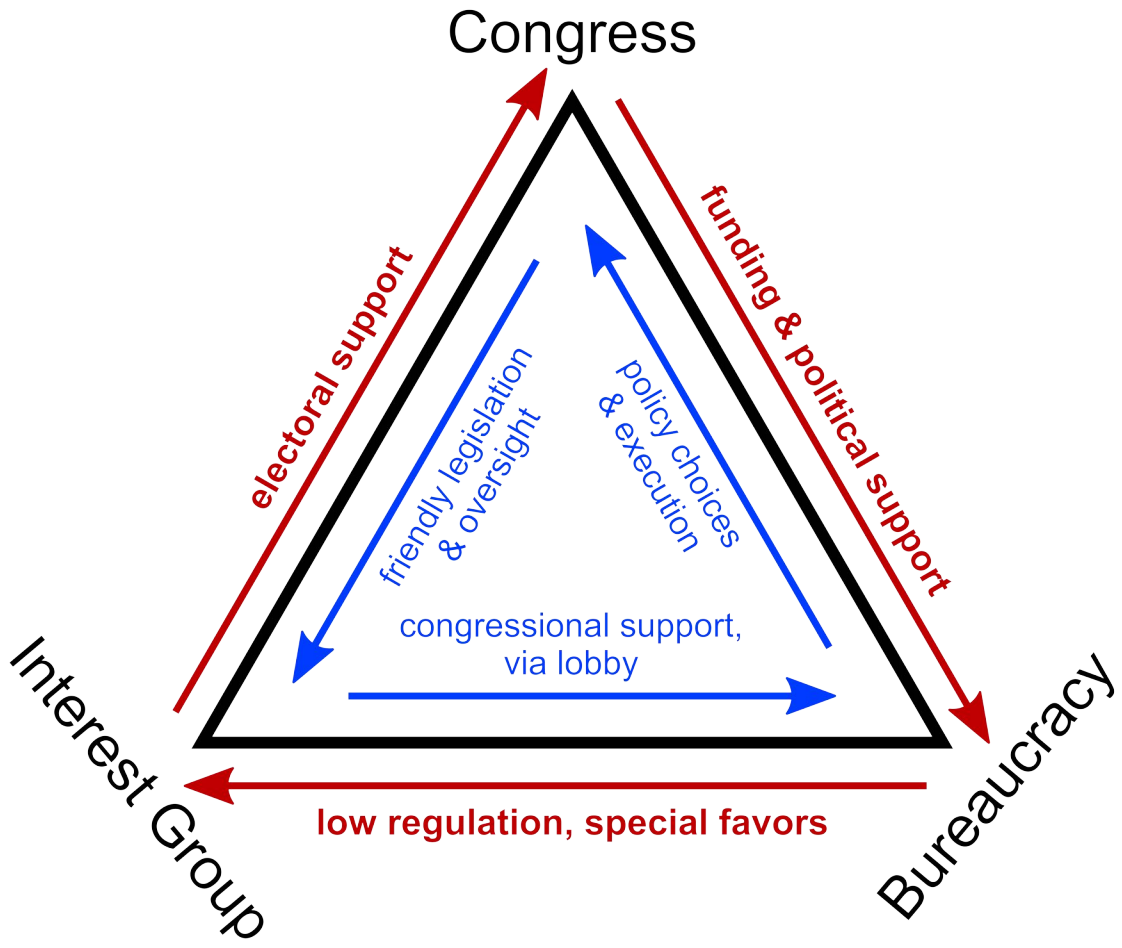
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The Executive as a Policy Actor

'Iron triangles'

- The executive is crucial for the stage of policy formulation (especially in parliamentary systems).
- But it needs the support from the ministerial bureaucracies!
- Hence: the appeal for private sector interests to form tight networks with both politicians and officials from the ministries (policy communities, 'iron triangles', issue networks).
- Its managerial oversight over the bureaucracy gives the executive an enormous discretionary power over all stages of the policy process!



The Bureaucracy

The Bureaucracy as a Policy Actor

- ‘Civil service’, ‘public sector’, ‘(public) administration’.
- Classical role: implementing (‘executing’) public policies. The “engine room.”
- But bureaucracies also contribute to the agenda-setting and policy formulation stages. Hence:
  - Implementing (‘street-level’) bureaucracy.
  - Ministerial bureaucracy.

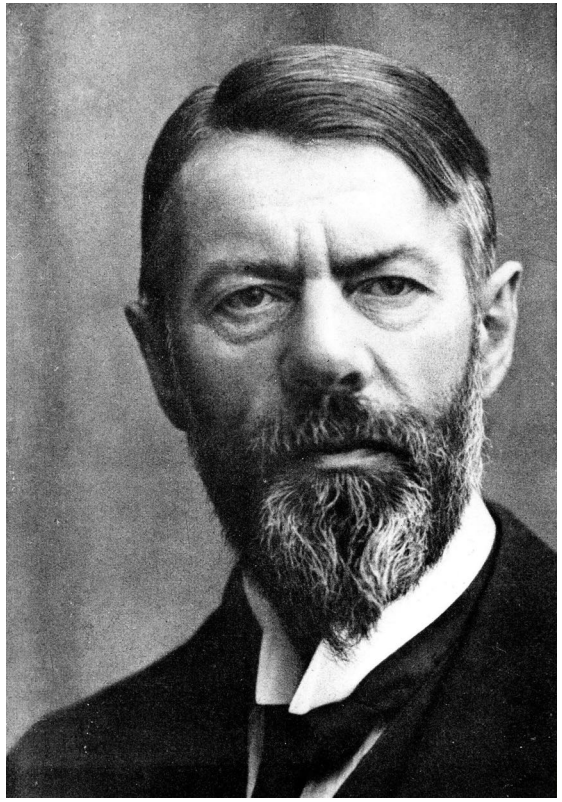
The Bureaucracy as a Policy Actor

- 'Civil service', 'public sector', '(public) administration'.
- Classical role: implementing ('executing') public policies. The "engine room."
- But bureaucracies also contribute to the agenda-setting and policy formulation stages. Hence:
  - Implementing ('street-level') bureaucracy.
  - Ministerial bureaucracy.
- Historically has enjoyed "embedded autonomy" from the rest of the society:
  - Impartiality of bureaucrats through independence from (too many) political & economic pressures.
  - Insulation, but not complete divorce.
  - Hired by appointment, merit-based recruitment, or secondment.

Weber's Ideal Type of Rational Bureaucracy

What are the criteria for the effectiveness of the bureaucracy?

- One of the key markers of a modern capitalist state
- Three types of legitimate rule:
  1. "Legal-rational" legitimacy.
  2. "Traditional" legitimacy.
  3. "Charismatic" legitimacy.
- The modern state bureaucracy is the "purest" realisation of legal-rational legitimacy!
- So what are the key organisational principles of a legal-rational bureaucracy?



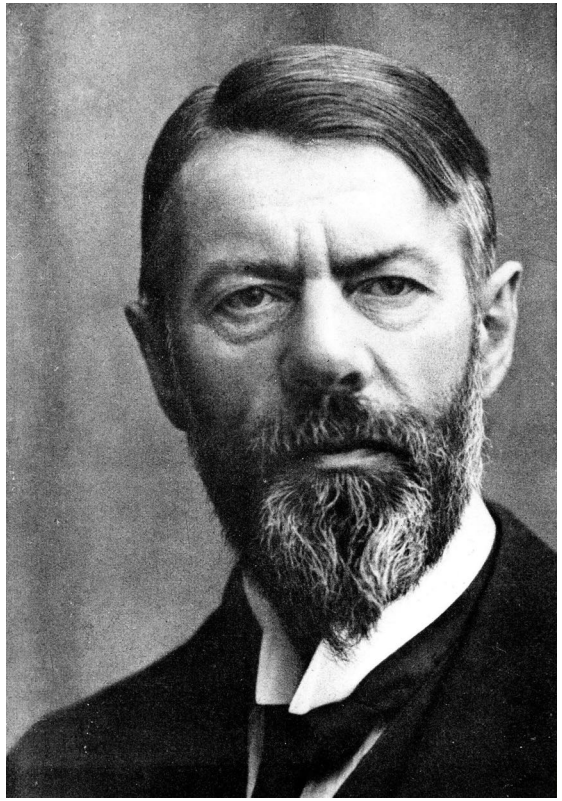
Max Weber (1864-1920)

Weber's Ideal Type of Rational Bureaucracy

Ten key organisational characteristics in *Economy and Society* (1922)

Administrative staff members:

1. are personally free and observe only substantive official obligations,
2. are placed in a fixed official hierarchy,
3. have defined official competences,
4. are appointed by contract, on the basis of free selection, and
5. possess a specialised qualification and are appointed rather than elected,
6. are remunerated in money by fixed salaries, for the most part with a right to a pension; that payment should be appropriate to social rank,
7. treat the official appointment as their sole or principal occupation,
8. see themselves as having a career, being promoted according to age or performance, or both, depending on their superiors' judgement,
9. work in complete "separation from administrative means" and without any personal right to the post occupied,
10. are subordinate to rigorous and uniform official discipline and supervision.



Max Weber (1864-1920)

Theories of Bureaucratic Policymaking

Two big questions:

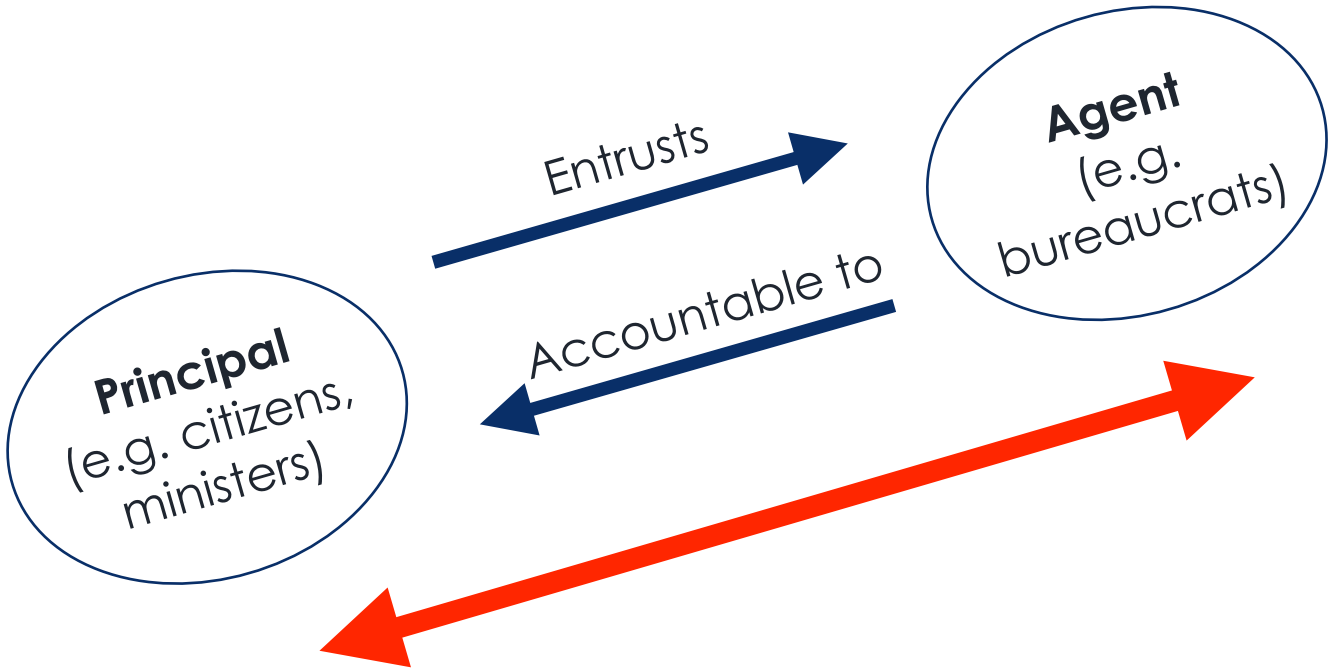
- How do bureaucracies implement decisions?
- How to enable government ministers to ensure that policy outcomes conform to the original policy objectives?

Three rival hypotheses:

- Bureaucracies are rational actors, neatly transforming policy objectives into outcomes.
- Bureaucracies are boundedly-rational, "satisficing" on cognition by relying on "standard operating procedures" (SOPs). See Graham Allison's discussion of the Cuba Missile Crisis in *Essence of Decision* (1971)
- Bureaucracies are sites of "bureaucratic politics," involving asymmetries between principals (ministers) and agents (bureaucrats).

Bureaucratic Politics and Principal-Agent Theory

Principal-agent problems between executives and bureaucrats

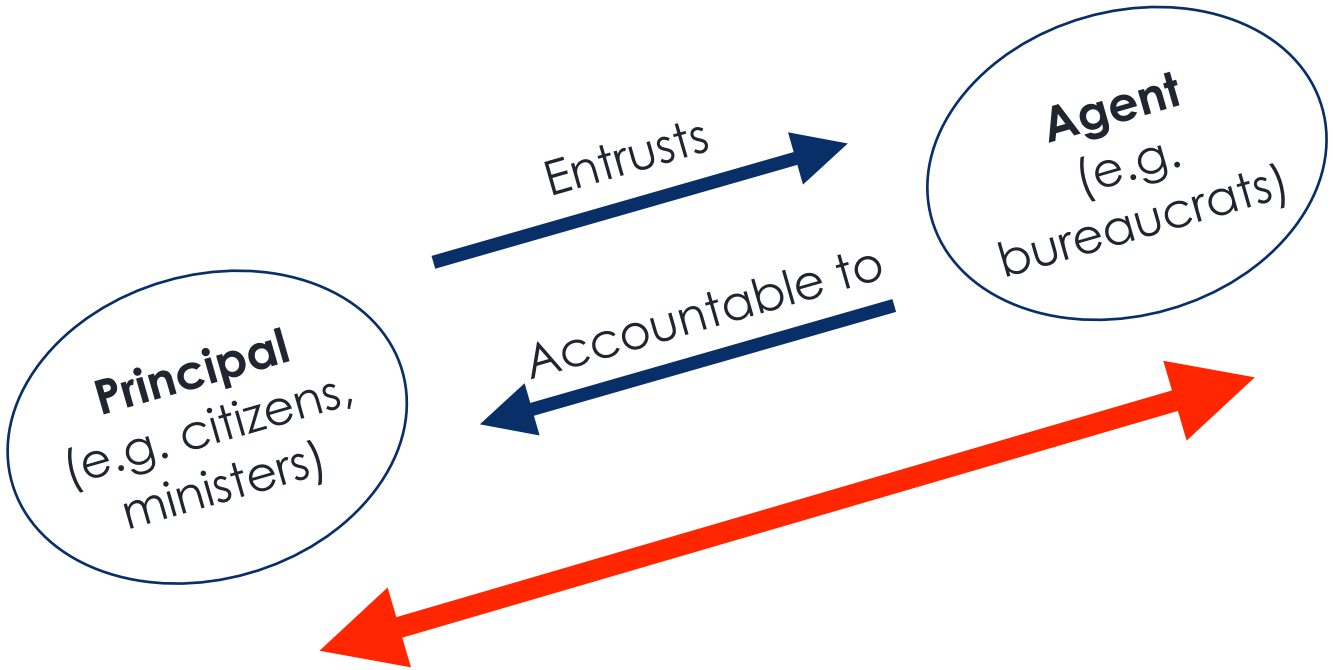


Principal-agent problems predict inefficiencies:

- Budget-maximisation
- Organisational slack
- Capture of informational advantage

Bureaucratic Politics and Principal-Agent Theory

Principal-agent problems between executives and bureaucrats



Information asymmetry = monopoly power

Principal-agent problems predict:

- Budget-maximisation
- Organisational slack
- Capture of informational advantage

These issues in turn lead to:

- Legitimacy deficits
- Allocative and X-inefficiency
- Loss of state capacity

How agency problems be fixed? 1980s answer: New Public Management

New Public Management

- Historical background: ineffective government response to economic crises in the 1970 and 1980
- Core idea: change the structure of the principal-agent relation (not just to monitor the agent more closely).
- Competition and measurable performance instead of Weberian rule-based administration.
- A renewed emphasis of market-inspired instruments in public policy:
  - Contracting-out (e.g. of public provision).
  - Privatisation (e.g. sale of public utilities, break-up of state monopolies, public-private partnerships).
  - Quasi-markets (e.g. competition between different units of the public sector).
  - Reform of civil service (e.g. emphasis on service delivery and quality feedback, fostering budget autonomy, separating policy-making and policy implementation functions).
- A source of many new troubles, ranging from heightened corruption risks to an actual need of more regulation, rather than less.

Key Non-State Actors: Parties, Interest Groups, and Experts

Political Parties

> "A political party is an institution that (a) seeks **influence** in a state, often by attempting to occupy positions in government, and (b) usually consists of more than a single interest in the society and so to some degree attempts to '**aggregate interests**'."
>
> — Alan Ware. 1996. *Political Parties and Party Systems*. Oxford UP. p. 5.

Main functions:

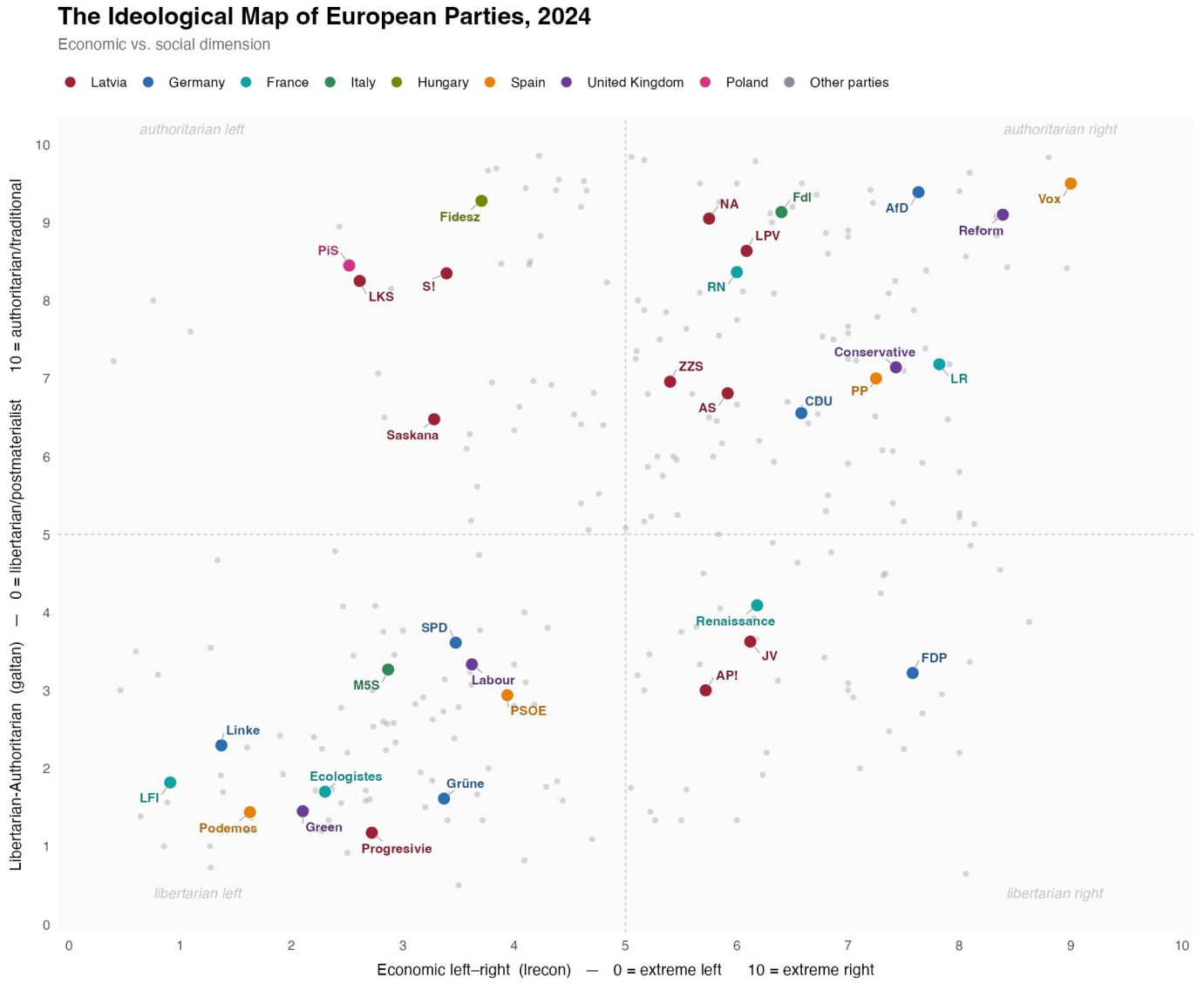
1. **Governing:** forming and sustaining governments, organising the legislature, and providing a collective reputation voters can hold accountable.
2. **Aggregating** the policy preferences (interests, beliefs) of citizens and **linking** them with candidates or elected officials.
3. **Structuring electoral competition**: recruiting personnel, formulating policy programmes, organising campaigns to affect citizens' electoral decisions.
4. **Mobilisation and political socialisation:** parties get people to vote, educate them politically, and provide cues and identities that help them to form a political will.
5. **Representing:** party representatives act as citizens' delegates or trustees.
6. **Legitimising** the political system (but see the emergence of populism and 'challenger' parties!)

Classifying Political Parties

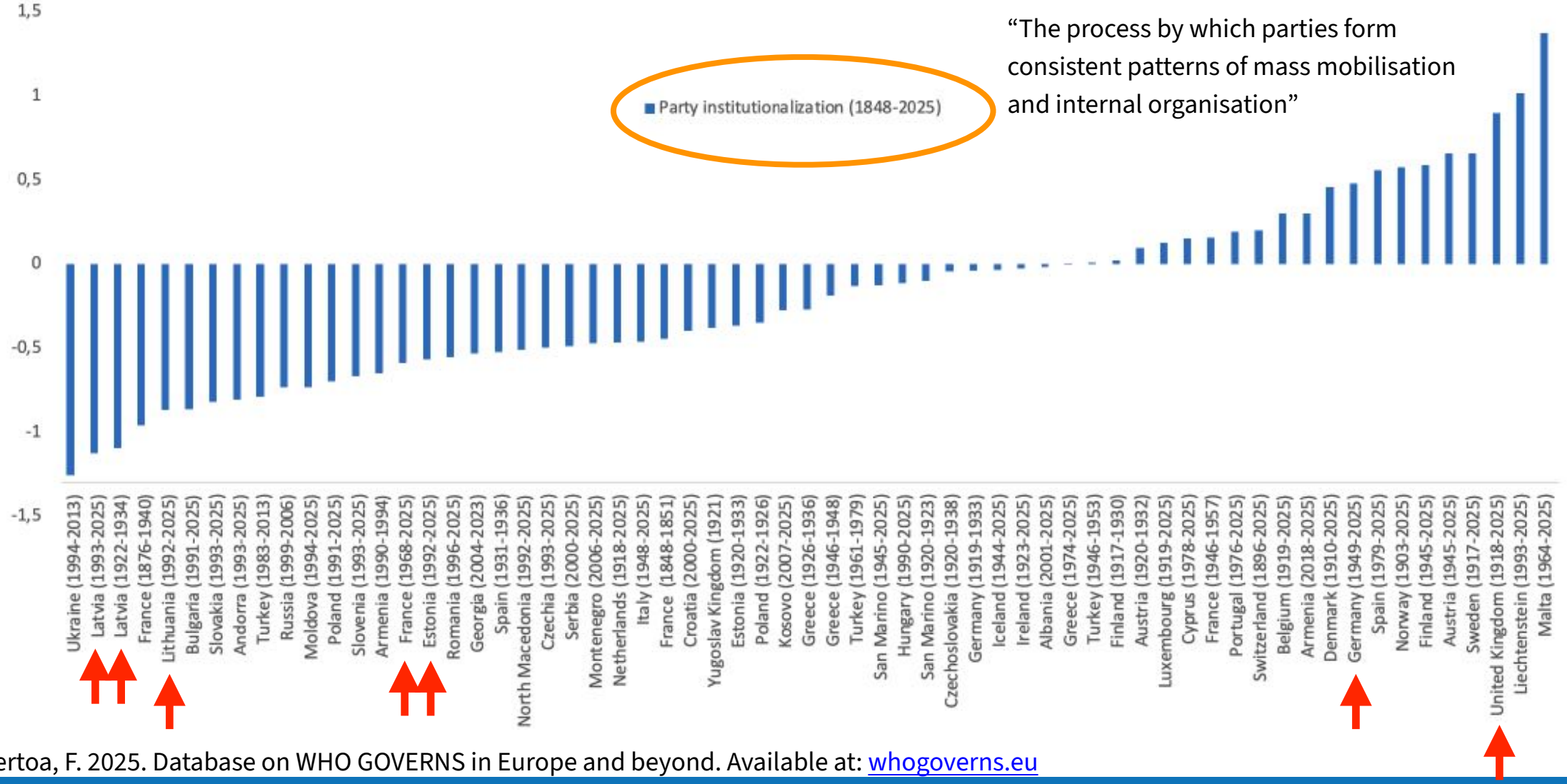
Standard approach: classification by political ideology and social values

Due to weak ideological profiles, political parties in Latvia are notoriously hard to map on the economic (l-r) dimension! This complicates the formation of a duly informed political will. And it possibly lowers the dependence of the government on the political will of its citizens.

With data from the Chapel Hill Expert Survey



Party Institutionalization in Europe, 1848-2025

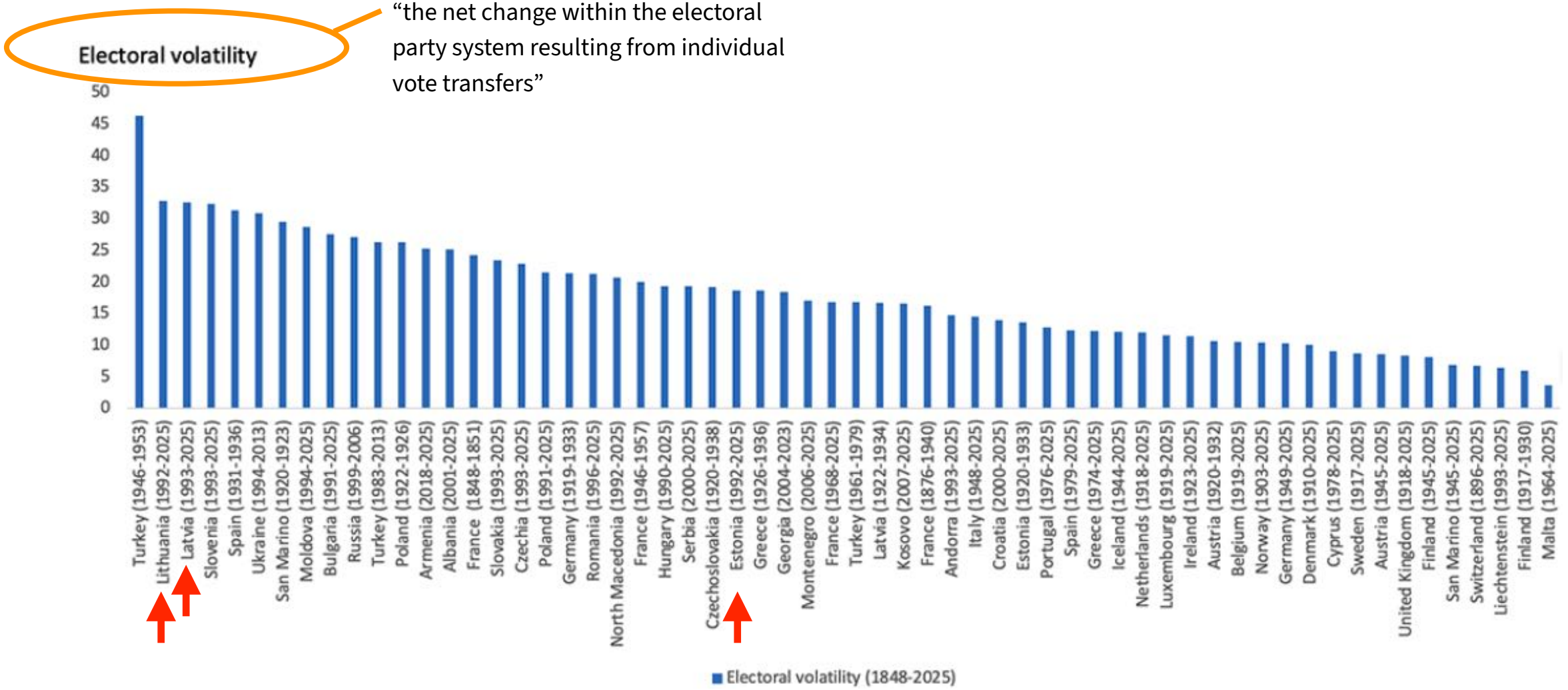


"The process by which parties form consistent patterns of mass mobilisation and internal organisation"

© Casal Bertoa, F. 2025. Database on WHO GOVERNS in Europe and beyond. Available at: whogoverns.eu

Electoral Volatility in Europe, 1848-2025

"the net change within the electoral party system resulting from individual vote transfers"



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Interest Groups

Interest groups are private organisations that make **policy suggestions** to **public actors** (governments, parliaments, and bureaucracies) in order to bring public policies more in line with the **beliefs** and **interests** of their members.

Main functions:

1. **Overcoming collective action problems** where similar policy preferences exist. But: the larger the size of the group the harder this task becomes (free-riding risks in presence of diffuse benefits).
2. **Influencing policy-making** through their specialist knowledge, financial contributions, or political campaign resources.
3. **Inside lobbying** (e.g. through involvement in 'iron triangles').
4. **Outside lobbying** (activities outside of the 'engine room' of policymaking).

Conditions for the Influence of Interest Groups

1. Internal organisation (financial resource, organisational characteristics).
2. High vs. low complexity of policy issue.
3. Degree of competition with other interest groups, which in turn is determined by institution-level access opportunities offered to interest groups:
    - IG Pluralism (‘marketplace’ with competition for influence) .
    - IG Corporatism (low competition for influence).
        - Fewer, but more institutionalised (‘incorporated’) ties between IGs and policymakers.
        - Frequent tripartite intermediation of interests.
        - Centralised bargaining of wages, high unionisation.

Interest Groups vs. Social Movements

Social movements:

- Conflictual orientation towards opposing groups.
- Collective identity.
- (Unconventional) repertory of collective actions.
- Not (officially) interested in institutionalised forms of cooperation within policy-making arenas.



Experts

Individuals or networks of individuals with **specialised policy-relevant knowledge** in a particular issue area, usually with **scientific** (academic or industry-based) credentials.

Often referred to as members of 'epistemic communities': e.g. the IPCC, expert panels during Covid-19…

Main functions:

1. Providing **causal connections** and therefore **ideas for policy action.**
2. Providing **impartial evidence** to policy-makers (but note that no scientist operates in a social vacuum).
3. **Brokering** between coalitions with competing **belief systems.**

Evidence-Based Policymaking

Experts have become stakeholders in virtually all policy processes

- The gold standard of modern public policy (not least since Covid-19).
- High-profile efforts to facilitate the proliferation of evidence in policy: OECD, Worldbank, EU Commission…
- But there are limitations:
  - Evidence is information *selected* — and potentially cherry-picked — by human beings.
  - Governments might try to capture and control knowledge-production ('policy-based evidence-making').
  - Risks of politicising the research community.

Evidence is "information **selected** from the available stock and introduced at a specific point in the argument in order to **persuade** a particular audience of the truth or falsity of a statement."

—Giandomenico Majone. 1989. *Evidence, Argument, and Persuasion in the Policy Process*. Yale UP p. 10)



Christian Drosten (D)



Anders Tegnell (SE)

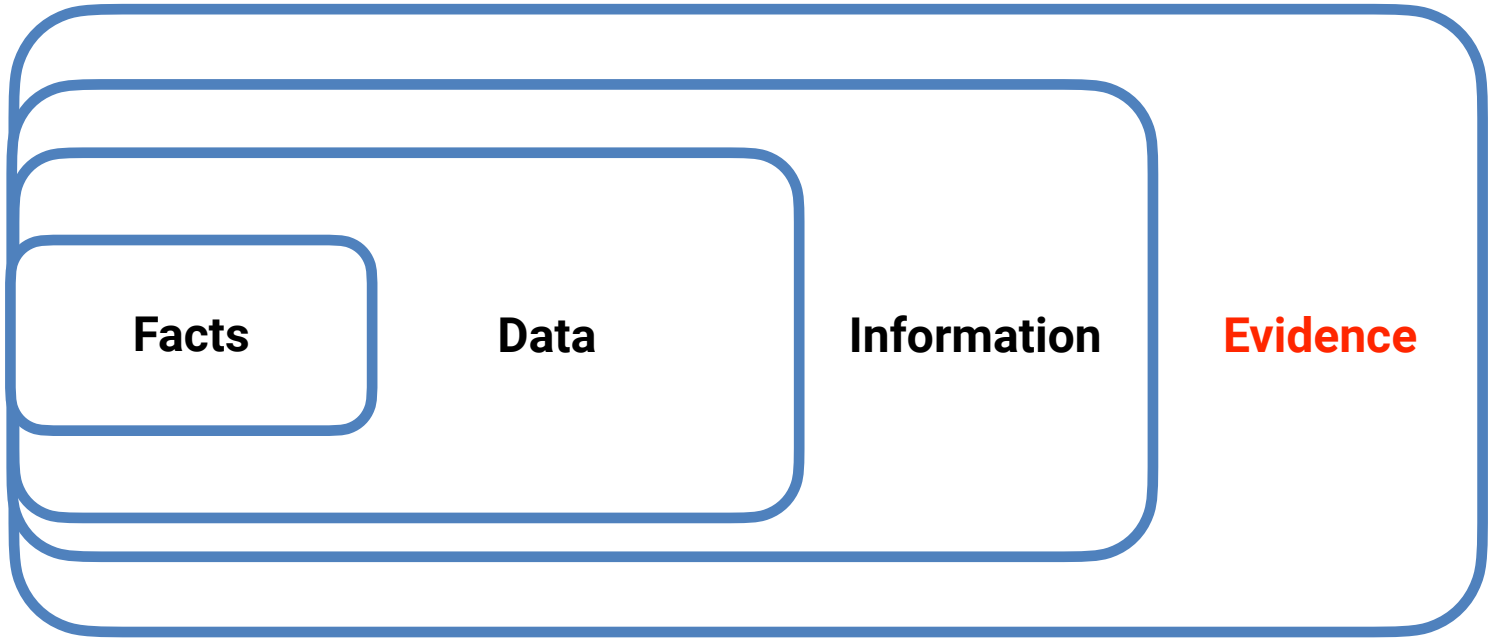


Anthony Fauci (U.S)

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Salience, Credibility, and Legitimacy Triad

David W. Cash et al. 2003. “Knowledge systems for sustainable development.” PNAS 100(14), 8086-8091

Core question: under what conditions will scientific information influence policy?

- Scientific information is influential if it is perceived to be:
    1. Credible
    2. Salient
    3. Legitimate
- 1-3 trade off against each other!
    - Increasing salience vs. credibility (see politicisation risks during Covid).
    - Protecting credibility may lower salience and legitimacy.
    - Broadening stakeholder inclusion for higher legitimacy may raise doubts about credibility.
- An effective science-policy interface presupposes careful management of these trade-offs
- A function often performed by “boundary organisations” (like e.g. the IPCC)

Think Tanks / Research Organisations

Organisations that generate policy-oriented research, analysis, and advice on domestic and international issues that enable policymakers and the public to make informed decisions about public policy issues.

—James G. McGann. 2016. *The Fifth Estate: Think Tanks, Public Policy, and Governance*. Brookings.

- Besides universities, key nodes of epistemic community:
  - Academic think tanks ("universities without students").
  - Contract research organisations.
  - Advocacy think tanks.
  - Party-affiliated think tanks.
- Key part of the "marketplace" of policy ideas.
- Offer not just policy positions, but a way for ideas to become 'sticky' and inform the very foundations of policy debates.
- Often dual role: independent research AND policy advocacy.
- When using think tanks, bear in mind their (often) programmatic purpose! Check origins, ideology, funding, and methodology.

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The Heritage Foundation
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Peterson Institute for International Economics

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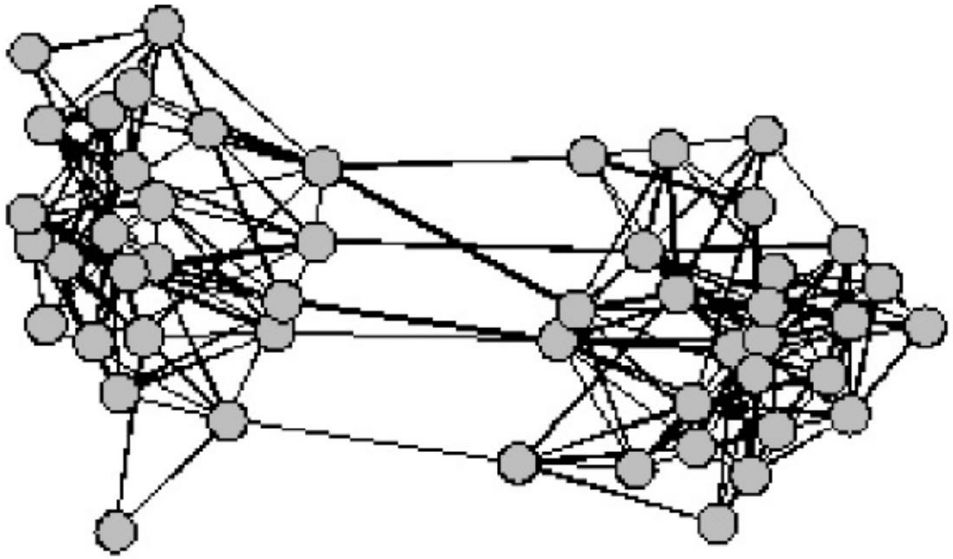
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Modelling State-Society Relations: The Advocacy Coalition Framework (ACF)

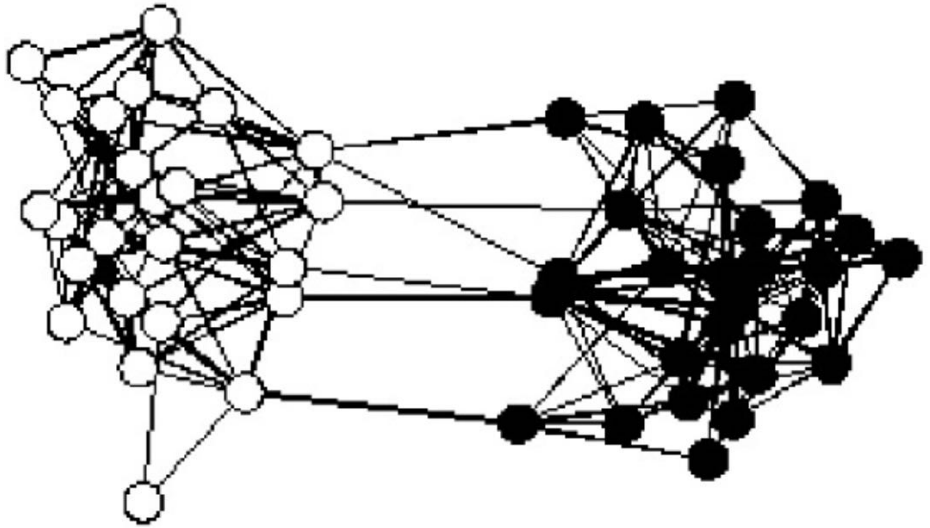
Actor Coalitions

Core questions: When do clusters of actors with some level of coordinated advocacy become coalitions? Under what conditions will coalition network dynamics lead to policy change?

a. Modular network



b. Modular and segregated network



Pfeiffer, G., Henry, A.D., Dietz, T. (2025). "Where Advocacy Coalitions and Policy Networks Intersect in U.S. Environmental Risk Policy." In: Jenkins-Smith, H.C., Weible, C.M. (eds.) The Advocacy Coalition Framework. Palgrave Macmillan.

Coalition Structure Within the US Climate Policy Subsystem

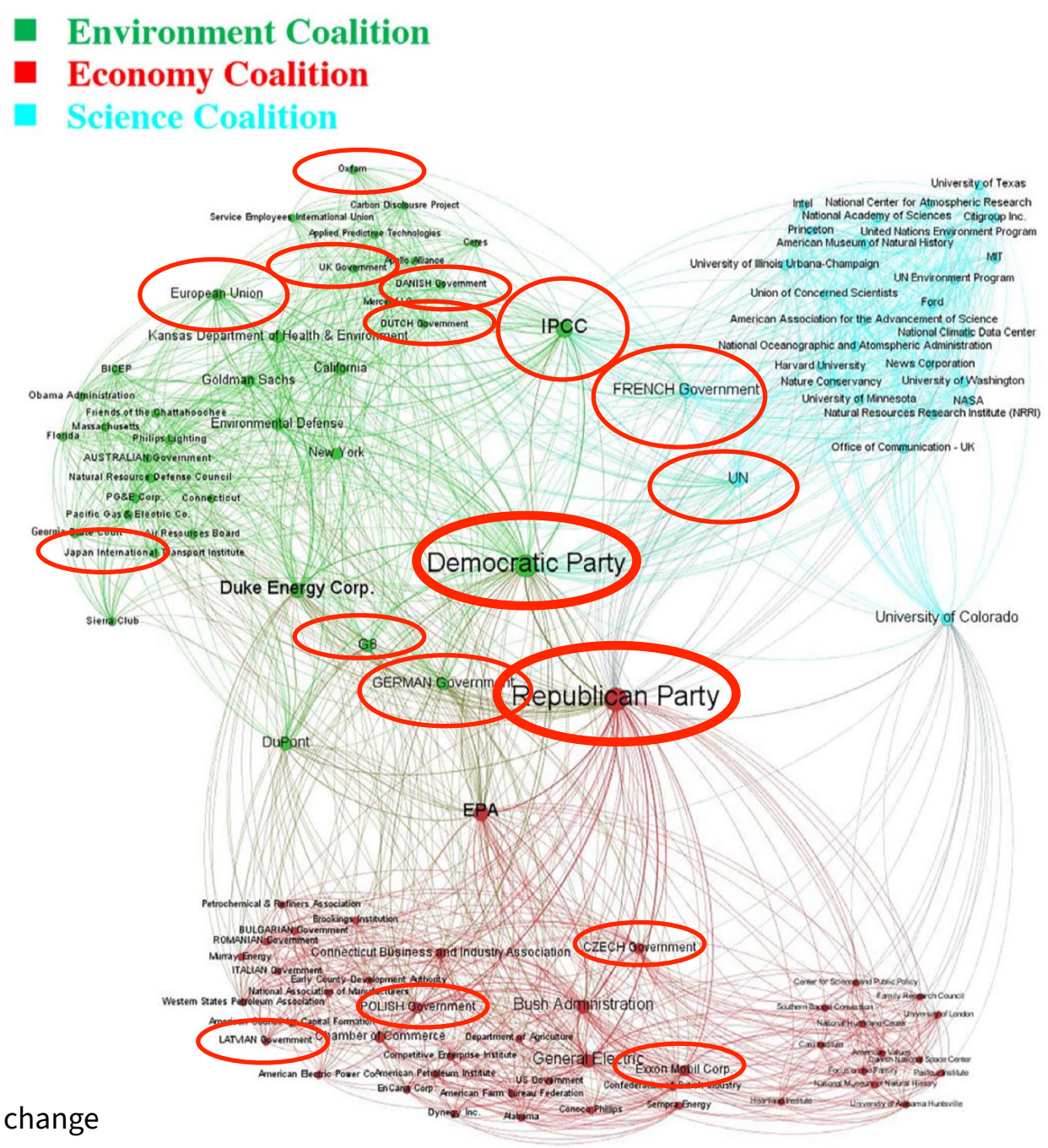


FIGURE 1 Actor congruence network based on general policy core beliefs.

Anna Kukkonen et al. 2017. “Advocacy coalitions, beliefs and climate change policy in the United States.” *Public Administration* 95(3): 713-729

The Policy Subsystem

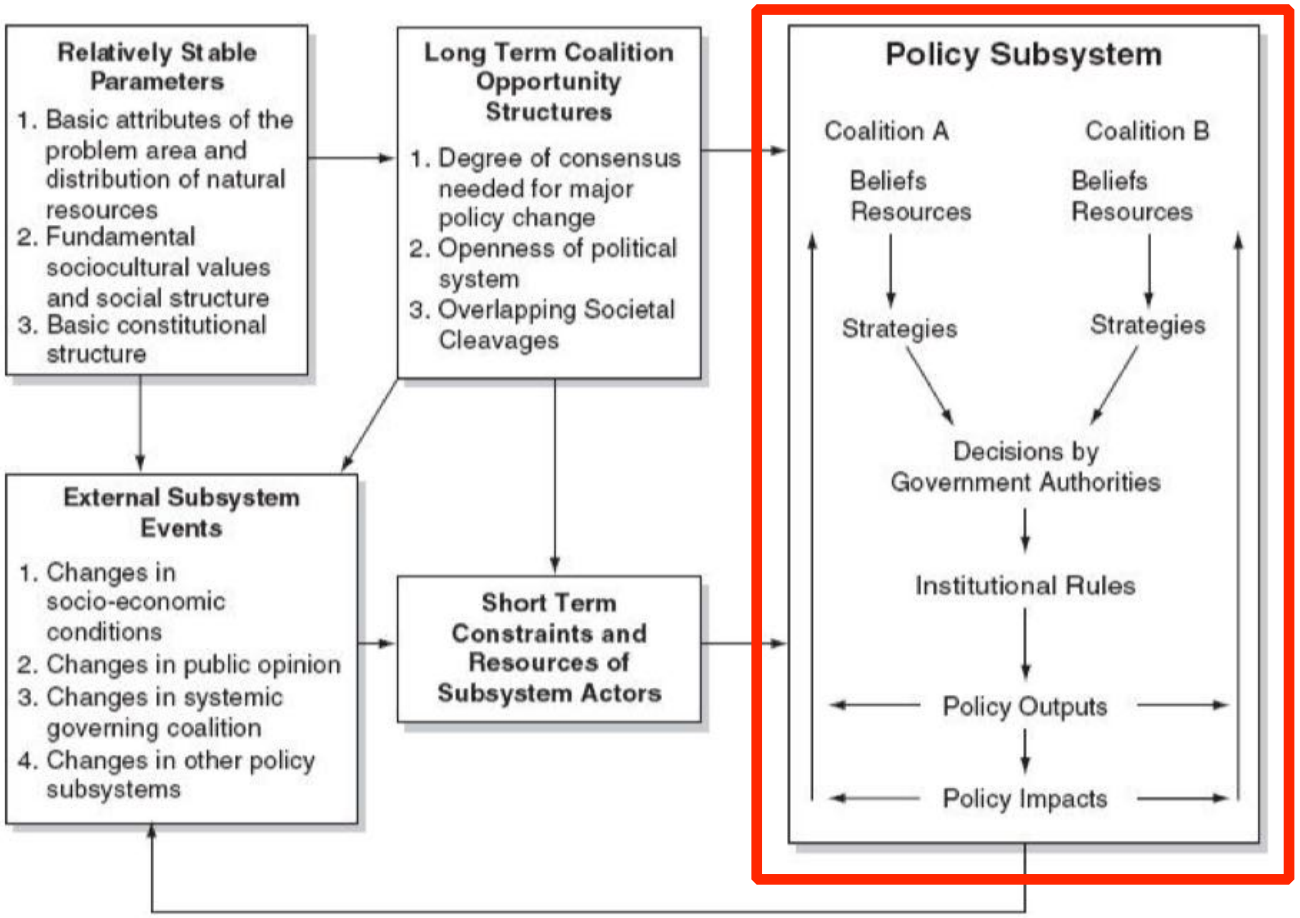


Figure 10.1 The advocacy coalition framework flow diagram
Source: Weible et al. (2016: 6).

Key characteristics:

1. Issue-centric aggregation of competing actors sharing similar beliefs.
2. Often comes with a geographic component.
3. Embedded in an institutional framework ("opportunity structures").
4. Responsive to external shocks (e.g. electoral landslides).
5. Cooperation often "brokered" by insiders.

The Policy Subsystem

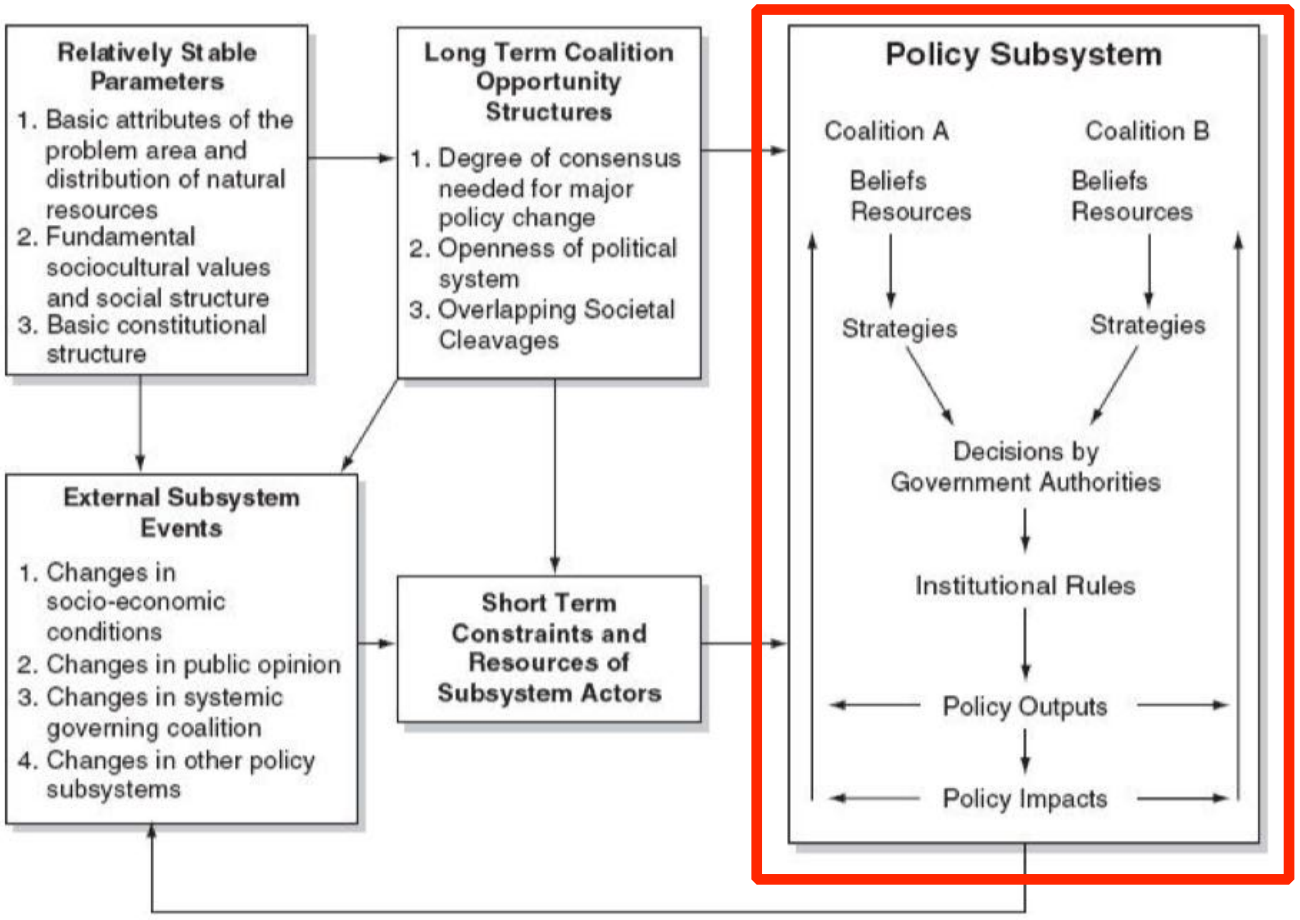


Figure 10.1 The advocacy coalition framework flow diagram
Source: Weible et al. (2016: 6).

- Actors are forming strategic coalitions.
- Coalitions are networks including both formal and informal actors.
- Each coalition seeks to transform its belief systems into public policy outputs.
- Hence, according to the ACF framework:

A given public policy is best understood as the translation of (some) belief systems, namely those that have ended up being **successful**.

Thank You